

SEPARATION OF POWERS



FUNDAMENTAL COMMITMENT PROBLEM OF LEADERS

Leaders cannot **commit not to abuse their power**

- ▶ Abuse of power is any action that society would not want the leader to use her power for

We studied how **the threat of firing** may constrain leaders

Institutions matter:

- ▶ How easy it is to remove a leader matters
- ▶ The size of the winning coalition matters

This Week: Other power constraining institutions

WHAT DO WE MEAN BY INSTITUTIONS?

Political institutions:

- ▶ Formal rules (constitutions, laws, regulations)
- ▶ And informal norms (customs, traditions)

That structure, constrain, and shape political behavior

Today we focus on the formal rules

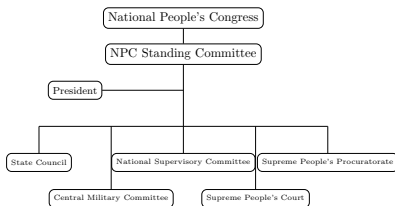
Examples

- ▶ Any rules described in a constitution
- ▶ Do we have elections?
- ▶ What is the leader allowed to do?
- ▶ Can the leader make decisions unilaterally or does she need an agreement of someone else (parliament)?
- ▶ Do we have a supreme court?
- ▶ What is the voting rule in legislature?

POLITICAL INSTITUTIONS ARE COMPLICATED



Political Institutions of US



Political Institutions of China

Why organize power this way?

What are benefits and costs relative to concentrated power?

DIVIDED POWER

Example of divided legislative power:

- ▶ Both chambers of Parliament need to approve legislation
- ▶ President needs to sign it
- ▶ Judiciary can declare it unconstitutional
- ▶ In Federalism, local governments can pass laws undermining the federal legislation

LOGIC OF DIVIDED POWER

Dividing power makes abuse less likely

If power is in many hands, its abuse is more difficult

Each government branch wants to abuse power for itself, which usually comes at the expense of other government branches

Each branch has incentives to stop others from abusing power

LOGIC OF DIVIDED POWER

Suppose power is vested in President, Judiciary and Congress

If President wants more power, this is at the expense of the power of the Judiciary and Congress

Judiciary and Congress have incentives to oppose the expansion of President's power

Will all three together abuse power? Maybe, but it is harder:

- ▶ Coordination
- ▶ Free riding
- ▶ Benefits of entrenchment may be smaller

EXAMPLES

2024 South Korea Martial Law Crisis

- ▶ President Yoon declared martial law citing "legislative dictatorship"
- ▶ National Assembly voted unanimously to lift martial law

President Trump deploying National Guard to Democratic cities

- ▶ President Trump deployed National Guard to several Democratic cities including Chicago to "combat crime"
- ▶ A federal judge in Illinois granted an injunction to prevent the National Guard from being deployed in Chicago
- ▶ The Trump Administration requested the Supreme Court to overturn the ruling, but the Supreme Court declined the request in December 2025
- ▶ Trump later announced he would withdraw National Guard from Chicago

DIVISION OF POWER AND VETO PLAYERS

Divided power $\implies$ Many veto players

API: veto players make it harder to change the status quo

Veto players constrain the set of policies that any leader is able to implement in equilibrium

- ▶ Prevents some policies that society may want (API)
- ▶ Prevents some policies detrimental to society

But that requires veto players to have diverse preferences

SELECTION PROCESS OF VETO PLAYERS AFFECTS THEIR PREFERENCES

Institutions in which different veto players are selected differently increase chances that they have different preferences

- ▶ The U.S. President is selected by the entire nation
- ▶ Each Senator is from a different State
- ▶ Presidents every 4 years, $\frac{1}{3}rd$ of Senators every 2 years
- ▶ Median Senator likely different than President

EXAMPLE: DIFFERENT ELECTIONS TO LOWER AND UPPER CHAMBERS OF PARLIAMENT

Many countries have parliaments with two chambers

Selection rules for the members of each chamber tend to vary

- ▶ Different districts
- ▶ Sometimes one chamber is elected the other is not
- ▶ Different term length

PURPOSE OF VETO PLAYERS AFFECTS THEIR PREFERENCES

If different veto players are selected for different purposes, they are likely to have different preferences or incentives

WHEN WILL VETO PLAYERS HAVE DIFFERENT PREFERENCES?

Consider two possible institutions

Co-leaders: Two leaders both tasked with (a) decisions on whether to go to war (b) execution of war

Separated Powers: One leader tasked with (a) and the second leader tasked with (b)

In both cases we have two veto players

WHEN WILL VETO PLAYERS HAVE DIFFERENT PREFERENCES?

Under co-leaders both are likely to have the same incentives to start unnecessary wars to signal hard work, strength, or get into “history books”

Under Separated Powers mainly the second leader is rewarded for successful wars

The first leader is more likely to be blamed for unnecessary wars

The veto power of the first leader is more likely to prevent unnecessary wars

In many countries the legislature declares wars and the executive executes it

EXAMPLE: FEDERALISM

Many countries have federal systems of government

- ▶ Brazil
- ▶ Nigeria
- ▶ Germany
- ▶ United States

There is Federal government and subnational governments

Each elected by different groups and tasked with different goals

Each government has some veto power over the other

- ▶ States can refuse to implement certain federal policies
- ▶ Federal government can withdraw funds if it dislikes certain state policies

CHECKS AND BALANCES

Different branches of government should be able to limit and control the authority of the others

- ▶ Legislative (Congress): Makes laws constraining president, can impeach president, approves presidential appointments
- ▶ Executive (President): Can veto legislation, selects judges, oversees the army
- ▶ Judicial (Supreme Court): Can declare laws or executive actions unconstitutional via judicial review

SEPARATION OF POWER

In many countries, government has three distinct branches

Legislative Branch

- ▶ Makes laws

Executive Branch

- ▶ Implements and enforces laws

Judiciary Branch

- ▶ Interprets laws and resolves legal disputes

Such systems have all three features described above:

- ▶ Many veto players
- ▶ Elected by different rules
- ▶ Elected for different purposes
- ▶ Able to limit the authority of other branches

MONTESQUIEU ON SEPARATION OF POWERS

When the legislative and executive powers are united in the same person [...], there can be no liberty; because apprehensions may arise, lest the same monarch or senate should enact tyrannical laws, to execute them in a tyrannical manner.

Again, there is no liberty, if the judiciary power is not separated from the legislative and executive. Were it joined with the legislative, the life and liberty of the subject would be exposed to arbitrary control; for the judge would be then the legislator. Were it joined to the executive power, the judge might behave with violence and oppression.



HISTORICAL EXAMPLE: THE GLORIOUS REVOLUTION (1688)

Before 1688, British monarchy had virtually unchecked power

- ▶ Royal prerogative gave it legislative power (to issue rules)
- ▶ It paid judges who served at its pleasure

Crown abused engaged in excessive spending and taxation

Created incentive not to engage or hide economic activity

In early 17th century, Crown faced problems with financing

- ▶ Resorting to selling lands
- ▶ Not repaying loans
- ▶ Seizing private property

These, among other political issues, led to unrest and culminated in the Glorious Revolution of 1688

AFTER GLORIOUS REVOLUTION (1688)

Introduced Parliament as a true veto player:

- ▶ Benefits from extractive taxes would need to be shared with legislators decreasing their appeal to the Crown

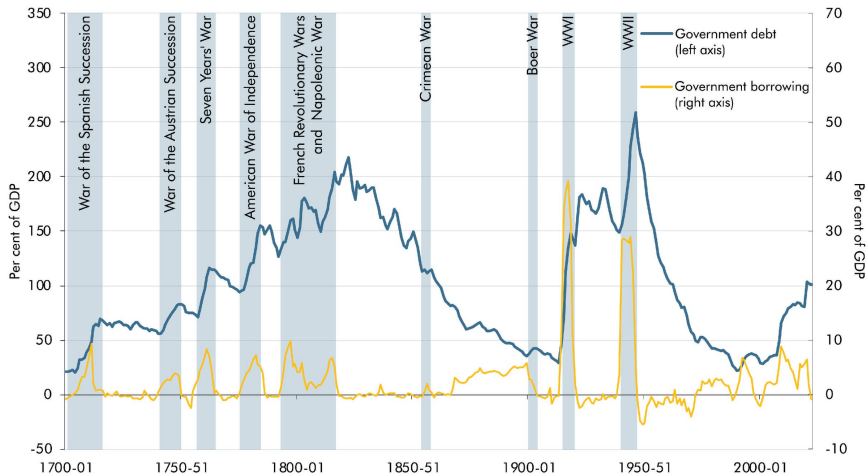
Created Separation of Power:

- ▶ The Crown was tasked with spending money but the Parliament was tasked with setting taxes
- ▶ Elected legislators tended to represent merchants and industrialist unlikely to approve extractive taxes
- ▶ Judiciary became independent of the Crown

This decreased risk of expropriation by the Crown

INSTITUTIONS MATTER

BRITAIN BECAME TRUSTED BORROWER



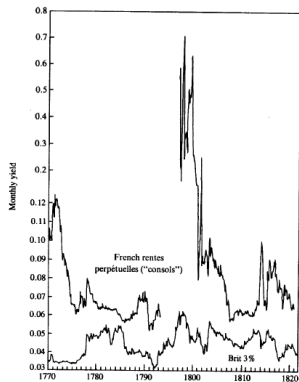
Source: Bank of England, ONS, OBR

ABSOLUTIST FRANCE

At the same time, France was an absolutist monarchy

Was considered riskier by lenders

Especially, after they inflated the debt away in the 1780s



Sources: Neal (1990a); *Gazette de France*; *Ancien Moniteur*; Courtois (1877)

8.5 Yields of British and French securities, 1770–1820

NAPOLEONIC WARS

Napoleonic France had to finance war via taxes and looting
Britain outspent France throughout the war

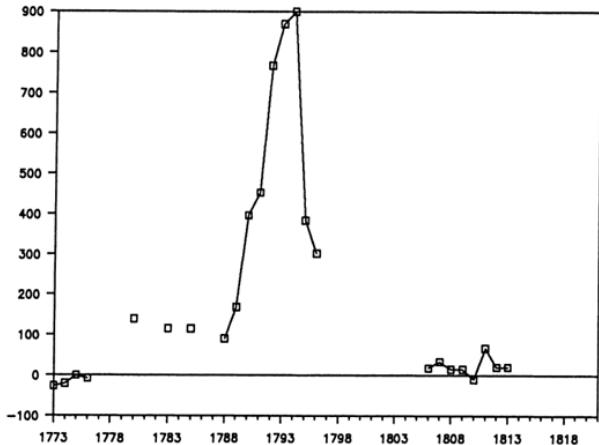


FIGURE 4

FRANCE: REAL DEFICIT (SURPLUS)

RECALL OUR DISCUSSION OF VENEZUELA

Suppose U.S. wants concessions from Venezuela: access to oil

Good for the U.S., bad for Venezuelan people

Non-democratic leader easier to convince to agree to concessions

Access to oil requires irreversible investment

A leader with no checks and balances is likely to abuse power and expropriate oil companies in the future

CURRENT DEVELOPMENTS



By **Simon Romero**

Jan. 29, 2026

[Leer en español](#)

Venezuela's National Assembly on Thursday approved a sweeping overhaul of legislation governing the oil industry, granting foreign oil companies greater control over operations and potentially slashing the royalties they pay to the government.

But Mr. Grisanti also sought to tamp down expectations that the law could unleash a wave of investment by huge companies like Exxon Mobil, whose chief executive has expressed skepticism about returning to Venezuela.

EXXON ON VENEZUELA: NOT A THIRD TIME

“We first got into Venezuela back in [the] 1940s, we’ve had our assets seized there twice,” Woods added. “And so you can imagine, to re-enter a third time would require some pretty significant changes from what we’ve historically seen here and what is currently the state.”

The Exxon chief said companies would need to carefully assess the potential for returns before making any commitments to invest in Venezuela.

“The questions will ultimately be how durable are the protections from a financial standpoint? What do the returns look like? What are the commercial arrangements, the legal frameworks?” Woods said.

“All those things have to be put in place in order to make a decision to understand what your return would be over the next several decades, that these billion dollar investments will be made on.”

SEPARATION OF POWERS IN CORPORATE GOVERNANCE

CEOs face similar commitment problem

- ▶ Can misappropriate funds for themselves via transfer pricing or shell corporations
- ▶ Have incentives to make decisions that lead to short term benefits at long term (hidden) costs
- ▶ Incentives to “build empires”

SEPARATION OF POWERS IN CORPORATE GOVERNANCE

Shareholders: Elect the Board and approve major decisions

Board of Directors: Selects CEO, sets strategic direction, oversees management, and ensures compliance

- ▶ More informed than shareholders, little incentives to approve empire building or misappropriation of funds, often no ownership stake makes them more patient with short term losses

Management (CEO and Executives): Executes the company's strategy and manages day-to-day operations

- ▶ May be rewarded through bonuses

Legal department: Checks contracts abide by the law and the firm's own directions

- ▶ Frequently reports directly to the Board

TRADE OFF

Checks and Balances may prevent abuse of power

But they also hinder governance

Society needs to select optimal balance

But there is no ideal solution

TO TAKE AWAY

Separation of powers can constraint leaders from abusing power

Yet they may hinder governance

Next class: Why would leaders comply with institutions that otherwise constraint their power?